

INDIA'S HEAVY WEST ASIA DEPENDENCE

FROM OIL AND GAS TO FERTILISERS AND HELIUM, CRITICAL IMPORTS REMAIN HEAVILY TIED TO THE VOLATILE WEST ASIA REGION, PUTTING KEY INDUSTRIES AND ECONOMIC STABILITY AT RISK

	COMMODITY	INDIA'S IMPORT DEPENDENCE ON WEST ASIA	WHY IT MATTERS	INDUSTRIES AT RISK
	CRUDE OIL	50%	CORE ENERGY, PETROCHEMICAL FEEDSTOCK	REFINING, TRANSPORT, AVIATION, PAINT, PLASTIC
	LPG	95%	HOUSEHOLD FUEL, PETROCHEMICAL FEEDSTOCK	CITY GAS, FMCG, PLASTIC
	LNG	80%	POWER, FERTILISERS, INDUSTRIAL FUEL	POWER, FERTILISER, CERAMIC, STEEL
	UREA, AMMONIA, DAP	50%	FOOD SECURITY BACKBONE	AGRICULTURE, AGRI-INPUT COMPANIES
	SULPHUR	65%	USED IN FERTILISER PRODUCTION	FERTILISER, CHEMICAL
	HELIUM	95%	CRITICAL FOR SEMICONDUCTORS AND HEALTHCARE	ELECTRONICS, HEALTHCARE

SOURCE MEDIA REPORTS, BT RESEARCH

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ping and energy markets are signalling that a prolonged disruption risk is undoubtedly significantly higher than at any point in decades," he says. Less than 10 vessels are crossing the Strait every day since March 2 compared to an average 135 in February, says S&P.

The repercussions for the Indian economy became clear just days after the start of the war on February 28. As the war went on, the Indian basket of crude oil surged to \$157.04/barrel on March 23, from just \$62.2 in December 2025. The crisis has also disrupted LPG and LNG imports. About two-thirds of India's LPG needs are met from outside, mostly West Asia. India also meets nearly 50% of its natural gas requirements based on LNG imports out of which nearly 60% comes through the Strait of Hormuz. Following diplomatic discussions, though, some ships have been allowed to reach India.

THE FALLOUT

The shortage of cooking gas has forced the government to come out with directives to ration its usage. Several restaurants have closed or are doing partial business. Crowd-pleasers like *bhaturas*, *dosas*, *samosas*, and even tea, are either off the menu or seeing a rise in prices. Households are

hoarding cylinders and induction cooktops are flying off the shelves as families worry about empty cylinders.

There are also concerns over the availability of fertilisers ahead of the kharif season. India imports about a third of its fertiliser requirement; West Asia supplies close to 40% of it, apart from several other inputs, including rock phosphate, phosphoric acid and muriate of potash.

This is not all. Second and third order effects are being felt in sectors ranging from paints and chemicals to tyres and air-conditioners. The supply of Helium, a large part of which comes from Qatar, has hit industries such as semiconductors. Steel and aluminum prices are rising and coal, which is becoming a favourite alternative fuel in kitchens, has become costlier. Even plastic required for packaging is in short supply.

Travel and airline services have been disrupted. Remittances from India's near 10-million-strong diaspora in the Gulf could fall. And factories have been told to ration gas supplies and reduce production.

Energy sector expert Dinesh Sarraf, the former Chairman-cum-Managing Director of ONGC and former Chairperson of the Petroleum and Natural Gas Regulatory Board, says the energy shortage will be felt differ-